WHERE ESPORT LAW DOES NOT EXIST

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ABSTRACT

The present paper seeks to conduct a comparative legal analysis by examining how the European and French legal perspectives regarding the notion of "esport" diverge or converge. It examines the methodologies used in practice based on legal transplant, influence and borrowing cross-sector at a global level, with views of finding a point of standardisation. It also seeks to identify the alternative practical avenues via which rights of different stakeholders may be protected where esport law does not exist.

Keywords: esport, video game, copyright, video game competitions, French law, European law, comparative law, intellectual property law, legal transplant, influence, borrowing,

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Electronic copy available at: https://ssrn.com/abstract=4047288

INTRODUCTION

Esport is the Unicorn of the entertainment industry. With the advent of over-the-top services disrupting the media and entertainment ecosystem, as well as the rise of digital and information technology, traditional games and sports businesses have developed to accommodate new practices and medium of interaction between the different esport ecosystem constituents (publishers, organizers, broadcasters, sponsors, teams, leagues, players, viewers). This contributed to the exponential growth of the esport global market revenue, valued at just above 1.08 billion USD in 2021, with an expected rise in 2024 to approximately 1.62 billion USD.[2]

The market has developed at an exponential rate, namely with the rise of digital practises and a one-stop-shop system market structure wherein several actors from different vertical and horizontal levels rely on interconnectedness to fuel competition. This nuclear structure, wherein different stakeholders are naturally dependent upon and influenced by one another in their performances and decision-making processes, has brought about an identity crisis: to be or not to be one of its own kind, that is the question.

This is why a recurrent topic prevails when esport hit the big charts: is esport a sport? The concise formulation of the question illudes one into believing that the underlying issue is as simple as the question looks. However, where micro markets are interconnected and bound so strongly so as to form a global esport market, it is difficult to place the cursor on a single legal regime that would be able to adopt the entire industry. The underlying concern is whether implementing esport into a classical structure and definition – such as that of traditional sports - would be pertinent *ab initio*, not to mention how the emerging digital practices may influence this approach.

The existing confusions and challenges are partly due the divergent understanding of esport in the legal, technical and commercial contexts. The polysemic nature of esport in law is likely to hamper good governance, coherence, consistency and transparency. This affects the stakeholders' capacity to conduct an effective informed risk analysis, linked to their decision-making and accountability. Namely, it impacts the area and type of legal issues to be addressed, as well as the nature and scope of certain stakeholders' rights.

Therefore, in order to appreciate how the esport industry rises where esport law does not exist, it is worthwhile examining from a more global perspective, the avenues of interpretation offered by French and European hard law (I) and soft law (II).

I. FRENCH AND EUROPEAN HARD LAW PERSPECTIVES ON ESPORT

"Electronic sport" is also known under the acronym "esport", with many variants in its spelling (including, but not limited to "e-sport", "eSport" and "Esport") as much as its definition. Some view "esport" as an umbrella term referring to an industry or a sub-classification within the gaming sector or different types of practises. Others interpret the term narrowly, as referring to a LAN party or Internet-based (mobile, console or PC) video game competitions. One of the major difficulties remains that the term "esport" is not used by the legislators, as it still lingers in the grey area in law. Neither is there a specifically dedicated legal regime for the industry.

[2] Field Level Media, Reuters, March 10, 2021, "Newzoo: Esports industry revenue expected to surpass $1B in 2021", https://www.reuters.com/article/esports-business-esports-growth-idUSFLM4K2cJ7; Statista, "eSports market revenue worldwide from 2019 to 2024", https://www.statista.com/statistics/490522/global-esports-market-revenue/

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In the absence of a specific European legal regime governing the esport industry, the applicability of the EU's primary legislation is worth examining at a primary level. For example, Article 3(2) of the Treaty on European Union ("TEU"), Articles 4(2)(a), 20, 26 and 45-48 of the TFEU, Regulation n°492/2011/EU and related legal dispositions on the free movement of workers may contribute to the protection of professional gamers at the European level. By virtue of Article 107(3)(d) of the TFEU (State Aid) enabling "aid to promote culture and heritage conservation where such aid does not affect trading conditions and competition in the Union to an extent that is contrary to the common interest", some Member States have even succeeded in promoting the development of the video games market by providing financial help.[3] This form of contribution is particularly meaningful to enhance a fairer competition, whereby non-profit associations and SMEs (that often lack the necessary funds) play a significant role in the market, alongside ready-established companies that are either specialised or developing an esport division amidst other profitable activities.

At a secondary level, solutions may be sought via an "integration analysis" by reference to the EU's secondary legislation. With the rise of the European Digital Single Market Strategy, there are a growing number of initiatives and legal dispositions governing digital goods and services, which may be construed widely enough to subsume certain elements of esport. For example, the scope of application of the Digital Content Directive 2019/770[4] is wide enough to include digital content (video games, maps, characters and skins) to digital services (in-game purchases).[5] The Audiovisual Media Services Directive 2018/1808/EU[6] and the *lex specialis* Computer Programs Directive 2009/24/EC govern different subsets of the complex game development.[7] It is yet to be determined whether the development of the metaverse and AI-enabled video games in the esport industry with mass data processing will eventually install obligations beyond the light transparency requirements for "limited risk" AI systems currently envisaged by the proposed Artificial Intelligence Act (2021/0106 COD). Likely, the Consumer Rights Directive 2011/83/EU and the Unfair Commercial Practices Directive 2005/29/EC[8] aim to protect consumers, whilst the Copyright Protection Term Directives 2011/77/EU and 2006/116/EC seek to protect authors, all inclusive of stakeholders in the esport ecosystem.

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[3] The French decree n° 2017-1281 of August 9, 2017, allows companies with a CNC (*Centre national du cinéma et de l'image animée*) authorisation to create video games can benefit from a tax relief of 30% of the eligible expenditures as per Articles 79 and 80 of the French law n°2016-1917 of December 29, 2016.

[4] In France, this Directive has been transposed primarily by the French Consumer Code and the French digital goods and services laws, including the French Order of 18 December 2014 (JORF n°0298 of 26 December 2014), Articles L217-1 to L217-20, of the French Consumer Code as created by the French ordinance n° 2016-301 of 14 March 2016, Article R111-1 of the French Consumer Code as created by the Article 6 of the French decree n°2016-884 of 29 June 2016 (JORF n°0151 of 30 June 2016), Articles R217-1 à R217-7 of the French Consumer Code as created by the French decree n° 2018-1227 of 24 December 2018 (JORF n°0298 du 26 December 2018), Article L111-1 of the French Consumer Code as modified by the Article 28 of the French law n°2020-105 of 10 February 2020 (JORF n°0035 of 11 February 2020), the French law n° 2020-1508 of 3 December 2020 (JORF of 4 December 2020), the French ordinance n° 2021-1247 of 29 September 2021 (JORF n°0228 of 30 September 2021), Articles L224-25-1 to L224-25-32 of the French Consumer Code as created by the French ordinance n° 2021-1247 of 29 September 2021 (JORF n°0228 of 30 September 2021), as well as Articles L242-18-1 à L242-18-9 of the French Consumer Code as created by the French ordinance n° 2021-1247 of 29 September 2021 (JORF n°0228 of 30 September 2021).

[5] Under the Directive 2019/770, video game companies are required to comply with contractual and pre-contractual information obligations outlining the purpose of use, quality and quantity, security, functionality, compatibility, interoperability and other features. These obligations are set to guarantee a certain level of consumer expectation based on the "reasonable person" test, considering factors including, but not limited to, trailers, installation instructions, customer assistance, manuals and demos.

[6] Codification of the Directive 89/552/EEC, amended by the Directive 2007/65/EC

[7] Case C-406/10 SAS Institute v World Programming Ltd

[8] See also Commission Notice Guidance on the interpretation and application of Directive 2005/29/EC of the European Parliament and of the Council concerning unfair business-to-consumer commercial practices in the internal market (2021/C 526/01)

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At a tertiary level, an "assimilation analysis" may be adopted by reference to comparable markets. Indeed, the esport industry has carved its way through the legal landscape by referring to the neighbouring traditional sports industry, as per the applicable national rules and transposition rules of different Member States[9]. This analysis differs from the secondary level "integration analysis", in that there is neither a direct nexus with, nor a mention of any component of esport goods, services or practices.

Finally, with views of mending the legal void, namely with the rising importance of protecting minors, a Pan European Game Information (PEGI) self-regulatory age rating and labelling system was created by the stakeholders and adopted voluntarily by many Member States.[10] Likely, the World Anti-Doping Code published by the World Anti-Doping Agency seeks to harmonise, among among Anti-Doping Organizations, the anti-doping policies, rules and regulations that apply in conjunction with eight (8) mandatory International Standards and twelve (12) non-mandatory Guidelines.[11] Although these systems does not partake in the European hierarchy of norms, it shows how stakeholders may contribute in the harmonisation of standards through practice and usage, rendering the market structure and values more transparent to the legislators.

Therefore, from a global perspective, it remains the case that stakeholders refer to the general, applicable laws in the context of the relevant industry, profession, practice or goods and services prior looking into neighbouring laws and industry standards in the practical setting.

Similarly to the European approach, French national laws, rules and regulations do not provide for an autonomous esport law. In this respect, the French law n°2016-1321 of October 7, 2016, for a Digital Republic devotes two important articles explicitly referring to video game competitions and employment contracts for professional gamers.

Firstly, Article 101 of Section 4 ("Video game competitions") of the French law n°2016-1321 creates exemptions to the general prohibition on "lotteries"[12] and "(online) gambling and games of chance"[13] for video game competitions[14]. The distinction is made with particular references to the economic model of the esport competitions, including the characteristics of the competition itself.

[9] Articles 6 and 165 of the Treaty on the Functioning of the European Union ("TFEU") outlines various European objectives, including those involving "sporting competitions', "education, vocational training, youth and sport", "bodies responsible for sports" and "sportsmen and sportswomen". This is so, despite certain restrictions set by Article 165(4) of the TFEU, limiting the contribution to "incentive measures, excluding any harmonisation of the laws and regulations of the Member States" such as guidelines, recommendations and funding.

[10] Articles 32 and 32 of the French law n° 98-468 of June 17, 1998, amended by the French law n°2015-177 of February 16, 2015, combined with Article 227-24 of the French Criminal Code integrate the PEGI system without necessarily referring to esport in a direct manner; Communication from the Commission to the European Parliament, the Council, the European Economic and Social Committee and the Committee of the Regions on the protection of consumers, in particular minors, in respect of the use of video games (COM 2008/207)

[11] European Commission's communication (COM (99) 643 final) ; Anti-Doping Convention of the Council of Europe (ETS n°135) ; Esports Integrity Commission (ESIC), Anti-Doping Code, https://esic.gg/codes/anti-doping-code/

[12] Articles L. 322-1 and L. 322-2 of the French Homeland Security Code

[13] Article 1964 of the French Civil Code; Article L. 320-1 and L. 320-5 of the French Homeland Security Code; the French Ordinance n°2019-1015 of October 2, 2019, modifying the French Law n°2010–476 dated May 12, 2010; Articles 95 to 100 of Section 3 ("Regulation of online games") of the law n°2016-1321 containing amendments to the French law n°2010-476 of May 12, 2010.

[14] Article L. 321-8 to L. 321-11, R. 321-40 to R. 321-50 of the French Homeland Security Code; paragraph II of article 220 terdecies and Article 220 X of the French General Tax Code; French decree n°2017-871 dated 9 May 2017

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Secondly, Article 102 of the French law n°2016-1321 creates an exemption to certain dispositions of the French Labour Code, enabling the existence of a fixed-term work contract renewable to the nth degree for a professional competitive video game player (in the restrictive meaning of an employee, excluding service providers and independent contractors).[15] However, players are subject to legal and practical limitations in order to be able to benefit from this type of contract. They include the prohibition of a unilateral termination clause and the necessity to be an employee of an authorised entity within the meaning of the French Decree n°2017-872 dated 9 May 2017. Finally, an interesting opening may be observed in Article 102 (V)(6), which stipulates an obligation to name the applicable collective agreement. As of now, there is neither a national collective agreement for professional video game players, nor for the esport industry in France. By default, the national collective agreement of SYNTEC (IDCC 1486), of Wholsales (IDCC 573), of Games, toys and related goods (IDCC 1607) and of Animation (IDCC 1518) are applied in practice to guarantee a certain level of protection to the employees, although none of these reflect the full reality of the esport practice. A question remains as to whether a collective agreement specifically designed to reflect the reality of the esport industry may come into play in the future.

Lastly but not least, although the French legislation does not consider esport as a sport in the traditional sense, the legislators have taken into account the similarities and the differences between the two.[16] In this respect, it is interesting to observe that the parliamentary report dated June 2016[17] clearly refers to and assimilates esport practices with those of traditional sports, by recognising that players often require the exercise of a strong physical activity, reflex, agility, control and precision of movement, with or without gaming peripherals. The report also mentions to the need for teamwork, a high level of training to acquire certain skills, as well as discipline which are also required of professional sportsmen. Moreover, it explicitly points out that only a few select categories of video games are played competitively. They include football simulations (FIFA, Pro Evolution Soccer), real-time strategy games (Warcraft III, StarCraft II), multiplayer online battle arenas (League of Legends, Defense of the Ancients, Heroes of the Storm), first-person shooters (Counter Strike, Rainbow 6, Halo, Quake), fighting games (Street Fighter, Super Smash Bros), collector card games (Hearthsone) and dancing games (Dance Dance revolution, Just Dance). This may imply that the French law n° 2016-1321 was designed to apply restrictively and ought not to be expanded limitlessly to fit the entire industry in it.

In any case, neither EU law nor French law refers to the term "esport", despite some references to "video games" (as products or services) construed more narrowly in specific contexts. There is no uniform Code, national collective agreement, system, classification or standard set by EU or French law as of now. In order to fathom the different ways in which the stakeholders may protect their rights, it is therefore essential to examine how esport is construed and legally qualified by the courts.

[15] French order of April 17, 2018 (JORF n°0096); Many practical aspects involving esport practices are attached to "borrowed" classifications in neighbouring areas of law (sport and digital) or simply governed by French ordinary law (*droit commun*). (c.f. French law n°2015-1541 of November 27, 2015)

[16] There are no provisions relating to "esport" or video games in the French Sport Code although there have been debates with the International Olympic Committee about including esport in the Olympics : Tom Faber, Financial Times, August 3, 2021, "The Olympics need esports more than esports need the Olympics", https://www.ft.com/content/dbabdf17-2835-499e-890d-aa19a6b464e2

[17] R.Salles, J.Durain, A.Kirchner, Report on the competitive video game (esport) practice (« Rapport concernant la pratique compétitive du jeu vidéo (e-sport) »), June 2016

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II. FRENCH AND EUROPEAN SOFT LAW PERSPECTIVES ON ESPORT

The lexical challenges regarding the notion of "esport" are not facilitated by the fact that the French and European case law favour an angle of interpretation based on a distributive classification. This approach emanates partly from the traditionalist perspective based on the traditional sports industry for which markets have been framed around a single sport per discipline[18], further divided per specific activities such as marketing, competition organisation, player representation and management, content broadcasting and player transfer[19]. The present section will examine how case law often only refers to the reductive notion of video games rather than the global esport practice or industry, namely in the context of intellectual property law.

At European level, the European court of justice has held that a video game is a hybrid, complex work composed of a computer program and audio-visual elements (such as graphic and sound elements) with a unique creative value.[20] Beyond the video game itself, the court's approach differs in relation to analogue and online works, in conjunction with the personal or professional use of such works which were subject to a panoply of legal discussions. This kind of distinction is prone to create confusions where the distinction becomes difficult to clearly establish. [21]

The French courts have adopted a similar approach. As a matter of example, although the French Intellectual Property Code does not list "video games" as a protected work in its Article L112-2, case law has evoked the possibility of qualifying them as protected works, conditioned upon them being "a creation of the spirit presenting an original character" (bearing the creator's unique expression).[22] French courts have held that a video game is an aggregation of different components of distinct nature, forming a whole. More specifically, it enters in the category of protected "multimedia work"[23] composed of a technical element (software) and an artistic element (audiovisual content such as images, literary works and musical compositions), each component of either elements being subject to its own regime depending on its nature.[24] This perspective favours a collaborative work over a joint or collective work,[25] and is in line with the global view that the esport ecosystem is also composed of an interdependent connection between all the stakeholders, each contributing an essential element to its dynamic ecosystem.

[18] French order of November 25, 2021 (JORF n°0289) containing a list of high-level sports disciplines such as badminton, baseball, basketball and football.

[19] ECJ, Union royale belge des sociétés de football association ASBL v Jean-Marc Bosman, Royal club liégeois SA v Jean-Marc Bosman and others and Union des associations européennes de football (UEFA) v Jean-Marc Bosman. (C-415/93)

[20] Nintendo Co Ltd and others v PC Box Srl (C-355/12); UsedSoft GmbH v Oracle International Corp. (C-128/11) ; Grund and others (C-458/13) ; Opinion of AG Sharpston in Nintendo v PC Box (C-355/12); Directive 2001/29/EC amended by Directive 2019/790/EU ; Directive 2009/24/EC;

[21] The French first instance court *(Tribunal de Grande Instance)* of Paris dated December 21, 2015 N° RG 16/01008

[22] French *Cour de cassation* decision dated March 7, 1986, n°84-93509 and n°85-91465 (Plenary session**)**; French commercial court's (*Tribunal de commerce*) decision dated March 25, n°89-11204

[23] French *Cour de cassation* decision dated June 25, 2009, n°07-20387; French *Cour de cassation's* dated March 7, 1986, n°84-93509 and n°85-91465 (Plenary session)

[24] French *Cour de cassation* decision dated June 21, 2000, n° 99-85.154; French *Cour de cassation* decision dated June 25, 2009, n°07-20387

[25] Article L113-2 of the French Intellectual Property Code

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Besides generic digital goods and services and the video game itself, the closest French courts have gotten to evoking the possibility of protecting esport practices is when they held that a gameplay may be considered a protectable element under French IP law. An expert would have to consider various elements, such as the capacity of a player to exert a certain degree of control over a character and decide in which ways it will interact with its surrounding environment.[26] Interestingly, this analysis recognises, via the "degree of control" test, the intricate correlation between the physical element (the specific acts or technical gestures of a player) and the mental element (the intent). It also touches upon the element of consumer expectation in order to assess what makes the latter distinctive and original, thus protectable by French intellectual property law.

This brings to the observation that the particularity of video games lies in its interactive element. At a primary level, there is an interoperability between a product component (cartridge, pack, CD, application etc.) and a device (console, PC). At secondary level, a video game is designed for active engagement, whereas films or music, for example, are mainly designed for passive appreciation. This element becomes more prominent with the rise of virtual reality and the metaverse. The former consists in integrating the physical player into a virtual world for interaction. The latter involves the player to control its "other self" within a virtual world via diverse peripherals.

In conclusion, despite the distinctive characteristics, practices and mode of operation of the esport ecosystem, the latter has only started to claim its existence by blending in the legal landscape through cross-sector legal transplant. Due to its hybrid nature, neither moulding esport into an existing framework, nor enlarging or adapting a traditional framework to it may be considered the most appropriate way forward. Considering the fast-paced growth and changing landscape of its practices in conjunction with the entry of new technologies, it is yet too early to even define the market. Beyond the realm of law, some stakeholders have attempted to ossify their practices into a uniform regime, such as a self-regulated rating system. Others continuously engage in discussions to explore the possibility of creating a unified regime. What is undeniable is that the industry exists and represents the next big potential for the global economy.

[26] The French first instance court *(Tribunal de Grande Instance)* of Lyon decision dated September 8, 2016, n°05/08070

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